PARLIAMENT OF UGANDA
REPORT OF THE COMMITTEE ON FINANCE, PLANNING AND
E(CONOMIC DEVELOPMENT ON THE INCOME TA)(
(AMENDMENTI BrLL, 20.26
Office of the Clerk to Parliament
)
1lft Parliament
April,2026
\
{/(
r,
*'/

1.O INTRODUCTION

The Income Tax (Amendment) Bill, 2026 was read for the first time on Wednesday, l"t April 2026 by the State Minister responsible for Finance, Planning and Economic Development (General Duties). The Minister also laid a certificate of financial implications indicating that the expected revenue gain is Shs. 178 billion annually.

The Committee scnrtinised the Bill in accordance with Rule 135 (2), (3) and (a) of the Rules of Procedure and now begs to report.

2.O OBJECT OT'THE BILL

The object of ttre Bill is to amend the Income Tax Act, Cap. 338, to:

1. pror"ide for vrrlthholding tax on interest paid by a resident company to a foreign financir-l institution;
ii. prpvide for withholding tax on commissions paid for telecornrul.rrril:ation retail services, mobile network services or provision of mobiLe flroliey serrrices;
iii. provide for w-ttrholding tax on r:r.innings under gaming cr betting;
iv. provide for: withholding tax on payment for the purchase of non-business assets;
v. provide forx,itlrholding tax on payments to public entertainers;
vi. exempt the income of the Bujagali Hydro Power Project from tax;
vii. exempt the inccme of a developer of a hotel or tourism facility frorn tax;
viii. amend Schedule 2 to provide for the Arab Bank for Economic Developmenr. iru Arrica (BADEA) and the Uganda Red Cross Society as a listed institution; arrd
amend Schedule 4 to the Act to revise certain tax rates

lX.
a14
4
1
\i
/rLH
tJ

3.O METHODOT,OGY

In considering the Income Tax (Amendment) Bill, 2026, the Committee adopted the following methods;

3.1 Meetings

The Committee treld meetings and received written memoranda from the following entities:

i. Ministry of Finance, Planning and Economic Development (MoFPED);

ii. Uganda Revenue Authority (URA);

iii. Private Sector Foundation Uganda (PSFU);

iv. Uganda Manufacturers Association (UMA);

Pricewaterhou seCoopers (PwC) ;

Institute of Certified Public Accounts of Uganda (ICPA-U);

Ugancla Bankers' Association;

Tax Justice Alliance Uganda;

Uganda National Traders Alliance;

IJganrJa Manu facturers Association;

Institute of Certified Public Accountants of Uganda;

Kampala City Traders Association;

Uganda Hotel Owners' Association;

Civil Society Budget Advocacy Group;

Uganda In surers Association;

Uganda Gaming Operators Association; and

Uganda Gaming and Betting Alliance.

3.2 Document review

The Committee reviewed and made reference to the following documents;

The Inconre Tax Act, Cap. 338; and

The Incorne Ta:,< (Arncndment) Bill, 2026 -Explanatory Notes

vll.

vtll.

ix.

x.

xi.

xii.

xiii.

xiv.

xv.

xvi.

xvii.

'g)

i

11.

w

2

\T
/L

4.O COMMITTEE OBSERVATIONS AND RECOMMENDATIONS

4.1 Inclusion of software in royalty

Clause 2 of the Bill seeks to amend Section 2 of the Income Tax Act Cap. 338 to provide for "software" in the definition of the word "royalty"'. The proposed amendment thus indicates that software is now explicitly royalties, attracting withholding tax.

The Ministry informed the Committee that the amendment aligns Uganda's tax treatment with international standards, including the EAC Treaty and the UN Model Tax Convention which treat software payments as royalties in order to allow countries which import software to tax the payments on gross basis.

The Committee obserued that sofiware is a keg seruice paid for under cross border seruices in a globalised economg. Sofiware call be imported eitlrcr embedded in a phgsical deuice or accessed digitally. TfLe proposed am.endment seeks to expand tlrc tax base to include both categories.

The Commlttee recommends that Clause 2 be adopted.

4.2 Disposal of non-business asset

Clause 3 of tJ,e Bill seeks to include income derived from the disposal of a non-business asset as property income. Section 20 of the Income Tax Act provides for the different types of property income. This means that when one disposes a non-business asset, the person purchasing the non-business asset will be required to withhold 6% of tJle gross payment as proposed under Clause 13 of the Bill.

The Committee learnt that the amendment ensures that income from ttre sale of non-business assets such as land, jewellery, shares and precious metals is recognised as taxable income under the Act. It is necessary to support the proposed withholding tax in clause 13 of the Bill on such transactions, since the income must first form part of gross income to be chargeable to tax. Currently,

capital gains tax mainly applies to business
assets, with gains
part of business income. Non-business assets
taxed as
-/
\.
n^q
0
+\w4,
ON

are largely outside this framework, creating a gap in the tax system. The proposal addresses this gap by bringing non-business asset disposals into the tax base.

The Committee obserued that:

the tenn "non-business asset" is not defined in the Bill leauing it to wide interpretation. There is need to specify uhat a non-business assef is other than defining it by u.tay of exclusion from a business asset. A business asset is defined under Section 2 of the Act to mean an asset uthich is used or held readg for use in a business, and includes artg assef held far sale in a business and artg asset of a partnership or companA;

implementation of this tax may face considerable challenges as it is dfficult to determine uhen one sells a non-business asset;

iii.

tLrc traceabilitg of transactions inuoluing non-business assets such as unregistered land, jeutellery, among others uill be dfficult therebg cornplicating aclministration of such a tax;

iu. ttrcre is need to consider the purpose of sale of a non-business asset as the imposition of withholding of tax may not enable citizens to ctcltieue the intended purpose of sale; and

u. a tax pager utho for different reasons sells land below the market ualue utill irwr a tax obliqation uthich ordinarily should not exist.

The Commlttee recctnmends that Clause 3 of the'Blll be deleted.

4.3 Er<emption of BuJagali hydropower proJect

Clause + (a) (i) of the Bill seeks to amend section 2l(l) (ab) to extend the exemption of the income of Bujagali hydro power project by six years from 3ofr June 2A26 to 3Oth -Iune 2032.

The Ministry indicated that the exemption in the current law is set to expire on 30th June 2J26. The proposed exte:rsion is based on the structure of the Rujhgali agreement, where corporate income tax is built

t.

L/?

\ wt&"

M

qrp

u.

\12l-
t:1

in the electricity tariff. If tax is imposed, the tariff will automatically increase to cover the tax cost. This means that taxing the project would lead to higher electricity prices for consumers rather than generating real net revenue for Government.

In 2025, the Committee on Finance recommended in its report that Bujagali Hydro Power project be exempted from Income Tax for a seven-year period as proposeql in the Bill to be consistent with the power purchase agreement which runs up to 2032. On 14th May 2025, Parliament debated the Income Tax (Amendment) Bill, 2025 and rejected the Committee's seven-year recommendation and instead gave Bujagali a one-year exemption ending 30th June 2026.

The Comrnittee obserued that;

i.

in 2017, the Bujagali generation tariff taas at US,$ /3 Cents

.

which utas so high. The Gouernment in a renegotiation offered to taaite corporate income tax for fiue gears in exchange for a reduction. of the generation tariff fo US$ 8.3 Cents. Thp Bujagali generation taiff as at March 2026 utas $6.34 cents/ KWh with a dispatch of 84.1o/o;

ii.

if the amendment is rejected, income tax according to the reruegotiated power purchase agreement slnll automaticallg pass througlt intc the taiff at a cost ranging betuteen US$/.S - 2.0 Cents/ KWh; and

the proposed antendnrcnt seeking to giue a waiuer to Bujagali up to 2032 implies tlwt afier 2031, the taiff applicable shall only be betueen US$.1.5 - 4.7 Cents/KWh (outer than the cunent taiff of Isimba and Kantma).

The Committee recommends that Clause 4la) fi) of the Btll be ad,opted.

'0(TT

\

0

OK

5

ttl.

4.4 Correction of typographical error

Clause a(a)(ii) seeks to correct a typographical error under Section 2l(L)(ae)(vii) of Cap. 338. The section provides a tax exemption for income derived from specific manufacturing activities, specifically: "manufactures chemicals for agicultural use, industrial use, textiles, glassu)are, leather products, industial machinery, electrical equipment, sanitary pads and for diapers. The proposed amendment is to delete the word "for".

The Committee observes that the proposed amendment is a correction or clarification intended to correct technical or clerical errors in this section.

The Commlttee recommends that Clause a@)fi| be adopted.

4.5 Exemption of income of a developer of a hotel or tourism facility

Clause a(a)(iii) of the Bill seeks to amend Section 2I of the Income Tax Act by inserting in subsection (1) a new paragraph (ah). The proposal intends to exempt a hotel or tourism facility developer from tax subject to the conditions specified in the provision. In order for a hotel or tourism facility developer to benefit from the exemptions the following must be in place;

i. the investment capital should be at least ten million United States Dollars, in the case of foreigner or five million United States Dollars, in the case of a cittzen;

ii. subject to availability, the developer should use at least seventy percent of locally sourced raw materials;

iii. the developer should employ at least seventy percent of its employees who are citizens earning an aggregate wage of at least seventy percent of the total wage bill.

According to the Ministry, this measure is designed to attract investment in high quality hotels, create jobs, and support Uganda's tourism sector.

ln"

4'l

V

p{(

6

It also aligns with the Government's ten-fold growth stratery, especially in promoting ATMS (agro-industrialisation, tourism, minerals as well as science and technologr).

The Committee observes that;

i.
the amendment uill promote inuestment in the touism industry in Uganda;

ii.
the minimum threshold for inuestments bg citizens set at U,S$ 5 nilliort is so itgn 7o, a typical lJgand.an deueloper to mobilise financing and deliuer the project on the time prescribed inthe Bill;

iii-
uthereas the Ministry did not propose a timeline for imtrtlementation of he project under ttrc Income Tax (Ar-endineiu) Bill, 2026, the Committee found that most hotel constnrction projects take an auerage of fiue gears to be colnpleted and a.s sttch, there is need to prescibe a timeline f,cr the propitsed exemption;

iu. to enslffe th.at Ugandan. deuelopers. benefit from this amend.rnettt, the inuestment capitat should. be reduced" to LrS$ l,5OO, OOO for citizens; and

u.
the reauirements under the proposal for the deueloper to use locally sourced raut materials and entployment of citizens prcmotes; local content and assrrres citizens of emplogment oppartunities.

The Committee recotnmeruLs that Clause ap)fii{ of the Btll be pa.ssed witlt ant afltetadtnetfi to raduce thc threshold to IIS$LrSOO,OOO and tnclude a trreriod a!.five Aeolrs utithln whic}. a beneficlary must holue co';npleted. settlng up the tacltltg.

qT,

{,"

7

t

I

W

4.6 Infrastructurebond

Clause a(b) of the Bill intends to amend Section 2l(7) to change the definition of infrastructure bond to include all bonds as opposed to only listed bonds.

The Finance Ministry stated that the key change is that the bond will no longer need to be listed on a stock exchange to qualify. Currenfly, this requirement limits how Government can raise funds and creates uncertainty. By removing the listing requirement, the proposal makes it easier for Governrnent to mobilise financing and allows these bonds to be traded more freely, even outside the stock exchange.

The Committee obserued that the inclusion of all bonds utill make it easter for Gouernment to mobilise financing

The Commlttee recontntends that Clause 4(b) be adopted.

4.7 Allowable dedruction for bad debt

Clause 5 seeks to amend section 24 to allow micro f,rnance deposit taking institution or tier 4 microfinance institutions to claim deductions for bad debts just like other tinancial institutions. According to the Ministry, this amendment allows rrricrofinance and tier 4 institutions to claim decluctions for bad debt-s and provisions for bad debts made in accordance with linancial regulatory requirements. Currenfly, the law permits such dectuctions for supervised financial institutions, but does not extend the sarne treatment to microfinance and tier 4 institutions. The proposed changg aligns the tax treatment of microlinance institutions with that of other regulated linancial institutions. It ensures fairness and recognises the similar regulatory obligations they face.

That microfinance deposit taking institutions and tier 4 microfinance institutions are relevant in Uganda and serze as

ACCCSS
ts for
,*Dur
#-
ft".(
\^fi
AK8

underserved, rural and informal sectors and as such they should be allowed to claim under this section.

The Committes r'.e{ommends that Clause 5 be adopted,.

4.8 Deductlon of interest incurred on debt obligations

C1ause 6 of the Bill seeks to amend Section 25 of the Act to include the definition of "dorfnant" and amend the definition of "group" and "tax earnings before interest, tax, depreciation and amortisation. The definition of group is proposed to include a person other than an individtal uith at least fifiq-one percent of the common underlying ownership and excludes a member of the group that is dormant. The definition of tax earnings before interest, tax, defreciation and amortisation is proposed as the sum of gross income less allowable deductions other than brought forutard losses.

The Ministry stated that this proposal intends to simplify and clarify how interest expenses are treated for tax purposes. First, the proposal defines a "dormant" company as one that is not doing business and has no financial activity in a year. Such companies will be ignored when applying the rules. Second, it defines a "group" as companies that are at least 51%o interest of the common underlying ownership. Only active companies are included. This makes it clearer vrhich businesses are treated as related. Third, it explains how to calculate EBITDA (Earnings Before Interest, Taxes, Depreciation and Armotisation) which is a measure of business performance. It focuses only on current year income and expenses and excludes old losses brought fonvard from previous years.

The Committee was further informed that under the current law, companies that are members of a group can deduct interest on loans, but this is limited b 3Ao/o of EBITDA if the company is part of a group. This r-ule preven

ts group companies from using too much borrowing to reduce their tax. This is something they are able to do by virtue of'reing in a
L
W
frtr
group
,t"{ \ffi
9

The Committee obserued that;

i.

amending the definition simplifies the application of the 3O% interest limitation rule bg excluding dormant companies that haue no real economic actiuity from the group calculation making the rule easier to applg; and

ii.

it reduces unnecessary compliance burden on genuine companies uthich haue not had no real economic actiuity in a aear.

The Commlttee recoremends that Clause 6 of the Blll be adopted..

4.9 Expenditlrrg incurred by a person in acquiring f,arm works

Clause 7 of the BiJl seeks to amend section 34 of the Act. It is to the effect that expenditure incurred by a person in acquiring farm works is included in the person's pool for. class 3 assets in the year of income in which the expenditure is incurred and depreciated accordingly under section 27.

Under the Income Ta-x (Amendment) Act, 2021, the class of assets under the principal Act was amended from class 4 to class 3. Section 27(21 provides that depreciable assets are classified into three classes as set out in Part I of Schedule 7 to the principal Act with depreciation rates applicable for each class as specifred in that Part.

The Ministry indicated that this change is needed because the law was amended in Julv 2O2L to reduce asset cat-egories from four classes to three. As a result, class 4 no longer exists. The amendment simply updates the law to reflect the current classification system and avoids confusion rvhen applylng the rules.

The Committee obserues th.at the continued reflection of c/ass 4 assets in the pincipal Ai:t uthich no longer errst poses challenges during tax administration.

h,,

c

OYIL

The Commlttee recommends that Clause 7 be adopted.

4.10 Carry forunrd losses

Clause 8 of the Rill seeks to amend Section 36 of the Act to introduce a minimum tax on carry forvrard losses. Currently, a tilx payer who, after a period of seven years of income, carries forward assessed los$es is only ailowed a deductron of 5O% of the loss carried fonvard in tJle following year of income and the subsequent years of income in determining the tax payer's chargeable income.

The proposed atriendment is to the effect that a tax payer who, after a period of seven years of income carries forward assessed losses, shall pay a tax at a rate of 0.5% orr the gross income of the tax payer or the tax charged undel section 4(1), whichever is higher.

The Ministrv informed the Committee that currently, the law limits the use of carried for^ward losses after seven years to 5O%o, but it does not irnpose any further consequence. As a result, some companies may continue reporting lorv or no taxable income for many years. The proposed amendment ensurcs that such businesses still make a minimum contribution to government revenue. Instead of paying no tax, they will pay at least 0.5% of their gross income. The proposed amendment ensures that such busirresses still make a minimum contribution to government revenue. In simple terms, a company will either pay the normal tax of 3O% on its profits or, if it continues to report losses, a small tax based on its turnover.

77rc Committee obserued that;

i.

if this atr,.endrnen.t is applied across board, it rnag result into closure of seuerct.i busi.nesses since it is targeting to tox gross irtcome as opposed to profit;

0fi1

11 "w

,

{,r1

u,
where a compang is genuinely inanning losses, it utill be required to pag tax. Whereas the proposal is seeking to capfiire companies uthich are practicing tax planning through practices such as declaration of losses, some companies which are genuinelg incurring losses utilt be disaduantaged; and
the amendment amounts to taxation of gross income as opposed to profits and therefore defeats the pinciple of income tax.
ut.
The Commlttee recommends that Clause 8 of the Blll be deleted..
4.LL Tax on international payments
Clause 9 of the Bill seeks to amend Section 82 of the Act which exempts interest paid by a resident company in respect of debentures upon fulfilling the stated conditions. The amendment seeks to impose withholding tax on the gross amount of the interest paid in respect of debentures by a resident company. The interest is at the rate of 57o as proposed under Part V of Schedule 4 of this Act.
The Ministry stated that currently, when a Ugandan company borrows from a foreign bank or financial institution, it does not withhold tax on the interest it pays. This means that income earned from Uganda may go untaxed in Uganda. The amendment introduces a 5% withholding tax to ensure that this income contributes to Uganda's tax revenue, just like interest earned by financial institutions within the country.
The Committee obserued that the interest to be withheld is deriued from income generated in Uganda and as such should be taxed u-tithin the Ugandan juisdiction.
The Commlttee recommend,s that Clause 9 of the Blll be adopted..
oFL g
A,-1
12

4.L2 Taxation of non-residents providing digital senrices

Clause 10 of the Bill proposes to amend Section 86 of the Act by exempting the income attributable to royalties from taxation under taxation of non-residents providing digital ser',rices.

This means that a person who derives income from providing digital seryices in Uganda which serrice is attributable to royalties, the person will not pay tax under Section 86. This is because the person will be required to pay tax under Section 82. Section 82 provides for payment of tax on royalties. The definition of royalty is provided for under section 2 of the principal Act and the Bill proposes an amendment to that section to provide for software under royalties.

The Ministry stated that this amendment aligns with Clause 2 of the Bill, which includes "software" in the definition of royalties and software can be categorised as a digital service as such, double taxation is avoided.

The Committee obserued that the amendment intends to auoid double taxation bg disapplyirg section 86 from income attibutable to rogalties.

The Commlttee recommend,s that Clause 7O be adopted..

4.13 Arm's length principle

Clause 11of the Bill seeks to insert a new section 115A in the principal Act to provide for the arm's length principle in controlled transactions or a series of controlled transactions. "Controlled transaction" is defined in the Bill to mean transaction between associates.

According to the Ministry, the arm's length principle means that related parties must deal with each other as if tJrey were independent, using market prices and ternrs. The amendment places a clear obligation on the taxpayer to demonstrate that their related party transactions meet this standard. Previously, some taxpayers relied on gaps in the law to avoid provi

ding sufficient evidence, making it difficult for URA to assess whether transactions were fairly priced
0w
D
ft-{
13

The Committee obserued that the prouision intends to require persons to account for controlled transactions. Section 116 onlg requires the Commissioner General to distribute, apportion or allocate income as well as deductions or credit between associates to reJlect the chargeable income realised by ttrc tax pager in an arm's lengthtransaction.

The Committee recommend,s that Clause 7 7 be adopted,.

4.L4 Rental tax

Clause 12 of the Bill seeks to amend section 124 of the Act to enable individual tax payers to furnish optional provisional returns of rental income on a monthly basis.

According to the Ministry, this allows individual rental taxpayers to lile and pay rental tax on a monthly basis, if they choose to do so. Currently, individuals are required to declare and pay rental tax quarterly. The proposed amendment does not replace this system but introduces an optional alternative. Taxpayers may continue with quarterly filing where it is more convenient, or opt for monthly liling depending on their circumstances. This flexibility is intended to ease compliance by allowing taxpayers to align tax paSrments with their cash flows. The amendment applies only to individuals and does not extend to companies. Allowing monthly filing is also expected to reduce the build-up of large tax liabilities, as taxpayers can settle their obligations in smaller and more manageable amounts. This may improve compliance and reduce the risk of arrears.

The Committee obserues that since tle proposed amendment is optional, it is giuing tax payers an alternatiue of paying their tax and still ensuring compliance.

The Committee recommends that Clause 72 be adopted.

t,t\
n
.}K
lrrl
AK
l4

4.15 Withholding tax by purchaser of asset

Clause 13 of the Bill seeks to amend Section 130 of the Act which provides for withholding tax by purchaser of non-business asset. The proposal provides for the rate of a non-business asset which has been provided for under Clause 3 of the Bill. The proposed amendment seeks to provide for the withholding tax rate for purchases of a non-business asset as 67o of the gross payment as specified in Part X of Schedule 4.

The Committee obserued that Part X of Schedule 4 of the Act prouides for a rate of 10o/o for purposes of section 130 (tuithholding tax for purchaser of an asset). The Committee recommended the deletion of Clause 3 of ttrc Bill and as such thls is a consequential amendment.

The Commlttee recommends that Clause 73 of the Btll be d,eleted followtng the deletlon of Clquse 3 of the BllL

4.16 lllithholding of tax on payments for wlnnings of betting or gaming

Clause L4 of the Bill seeks to substitute section 131 to expound the provision for withholding of tax on payments for winnings of betting or gaming. The proposed amendment prescribes withholding tax on winnings at Llcoh under Part XI of Schedule 4 and defines winnings as the difference between tJle pay-out and the staked amount on the game or bet and further exempts winnings paid by a person licensed to conduct a National Lottery.

The Ministry stated that this amendment requires a betting or gaming company which pays out winnings from betting or gaming to withhold tax at a rate of 15%. "Winnings" are defined as the amount paid out to the player minus the amount they staked. This ensures that tax is applied only to the

gain, not the total pay-out. Currently, withholding tax

C

ttv

w

only applies to winnings from betting. This proposal extends withholding tax to gaming and defines what winnings are.

The proposal is expected to improve tax collection from the gaming sector, especially with tlre support of the Centralized Payment Gateway System, which enhances transparency and tracking of transactions.

The Committee &serued tlmt;

i.
the tax intends to include gaming which taas not preuiously prouided for;

ii.
tte dzfinitian of "utinnings" prouides claity utltich uill ease tax administration; and

iii.
there is need to disapplg withholding tox from uinnings aris{tg by p{aging card games and roulette.

The Commlttee rerogtmends that Clouse 74 be c:flopted with the praposed cmenftnents.

4.L7 Ulithholdin3; tag on comJlrission paid by telecomr4unications service grirviders

Clause 15 of the Riil irrtends to substitute section 133 for withholding tax to apply to ccmrnission f<rr telecommunication retail services and mobile network services and omits airtime distribrrtion frorn the provision.

The Ministry informed the Committee that the proposed amendment expands this scope to include commissions earned by agents distributing other telecom prodtlct-s such as voice and data brrndles. The tax is
t
charged on the g.lr" amotrnt of the commission paid, making it easier to administer and enforce. The objbctive of this am.endment is to widen the tax base and reduce tax avoidance within the telecornmunications sector, where some iommission income may not be fully d-eclared. By extending withholding tax to a broa,ier range of telecom services, the proposa.l aims to improve compliance and increase revenue collection.

0$
,fo"{
D
16

The Committee obserues that the amendment intends to incorporate changes in the telecommunications sector in order to uiden the tax base.
The Commlttee recommends that Clause 75 be adopted.

4.18 Withholding tax on public entettainer

Clause 16 of the bill proposes to insert Clause 1358 to withhold tax on the gross payment of a public entertainer.

The Finance Ministry explained that the amendment requires any person who pays a public entertainer to withhold tax at a rate of 60/o on the gross pa5rment as proposed under Part XVI of Schedule 4. Currently, withholding tax mainly applies to payments made by designated agents and on commissions in sectors such as insurance, advertising, and mobile money. This leaves a gap where payments to entertainers are not consistently taxed, especially when made by promoters or other payers who are not designated agents. The proposed amendment closes this gap by placing the obligation to withhold tax on anyone making payments to entertainers. This ensures that income earned by entertainers is captured at gource, improving compliance and reducing the risk of underreporting.

The Committee obserued thnt;

i.

there is need to define the utord "public entertainer";

ii.

ttrcre mag be implementation challenges in traceabilitg in the transactions and payments.

The Commlttee recommend.s that Clause 76 of the Bill be adopted utlth the proposed. amendments.

4.19 Withholding as final tax

Clause t7 of the Bill seeks to amend section 139 to provide that tax which has been withheld on payment for purchase of a non-business asset (section 130(3)), on payment of commission paid to an insurance agent (section 134) and on pa5finent of a commission for telecommunication retail services (section 133), shall be treated as a final tax and no further

g

NIL

-D

t7

tax liability is imposed upon the tax payer in respect of the income to which the tax relates.

The Ministry informed the Committee that under the current law, withholding tax on insurance agents' commissions is creditable rather than final. This means that agents must still file tax returns and account for their income after the tax has been deducted. In practice, many insurance agents incur daily expenses that are informal and difficult to document, making accurate reporting challenging.

The proposed amendment simplifies this process by treating the lOo/o withholding tax as the final tax liability. This removes the need for further filing and reduces the administrative burden on agents.

The Committee obserued. that;

i.
this is a consequential amendment arising from the amendment in section 130(3) and 133 which ?nue been proposed for amendment in this Bill. Clause 17(a) (aa) in regard to section 130(3) was deleted as a consequential amendmentfromthe deletion of clause 3 of the Bill; and

ii.
the amendment also seeks to include the payment of commission paid to an insurance agent as a final tax.

The Committee recommend.s that Clause 77 of the Btll be a.d.opted. utlth the proposed, qrnendment.

4.2O Tax rate gn income derived by resident individual from foreign source

Clause 18 of the Bill seeks to provide for a new insertion of section 150A to provide that incom.e derived by a resident individual from a foreign source shall be taxed at the same rate that applies to the same type of income sourced in Uganda.

dl(

c.-

The Ministry informed the Committee that this reform aligns the treatment of foreign income with domestic income by taxing it according to its nature. Although Ugandan law already allows taxation of worldwide income for residents, enforcement has been limited due to difficulties in identitying such income. The adoption of Automatic Exchange of Information now enables Uganda to receive financial information from other countries, making it easier to detect income earned abroad.

The Committee obserued that the prouision does not take into account cases tahere income u)as earrled abroad based on tax exemption and bilateral international trade ag reements.

The Committee recommend,s that Clause 78 be deleted.

4.2L Amendment of Schedule 2

Clause 19 of the Bill seeks to amend Schedule 2 of the Act to provide for income tax exemption for the Arab Bank for Economic Development in Africa (BADEA) and Uganda Red Cross Society. Schedule 2 provides for listed institutions which are exempt from payment of Income Tax.

The Finance Ministry explained that the purpose of the amendment is to support development financing and humanitarian work. Exempting BADEA facilitates access to development funds, while exempting the Uganda Red Cross Society strengthens its ability to respond to emergencies and rranage disasters.

The Committee obserued that the tuo entities are known for tLrc purposes mentioned by MoFPED and as such should Wahfg for exemption.

The Commlttee recommends tho:t Clause 79 of the Blll be adopted.

4.22 Amendment of Schedule 4

4.22.1 Pay as You Earn

Clause 2O(a) proposes to amend Schedule 4 by substituting Part I. Schedule 4 provides for rates of tax. Part 1 of Schedule 4 provides for rates of income tax for individuals.

W

fu^{

The Finance Ministry informed the Committee that a key reform is the increase in the tax free threshold from UGX 2,82O,OOO per year to UGX 4,O2O,0OO per year, equivalent to UGX 335,000 per month. The previous threshold, set in 2OL2, had not been adjusted for inflation, despite rising living costs. The purpose of this change is to reduce the tax burden on low income earners and improve fairness in the tax system. By raising the threshold, more individuals will either pay less tax or be removed from the tax net entirely. At the same time, the progressive structure ensures that higher income earners continue to contribute a larger share of tax revenue

The Committee obserued that;

t.

all salary bands stand to benefit from the proposed amendment;

the tax free threshold has been increased from 235,OOO per month to 335,OO0 per month mouing lou paid workers from the tax net entirely and prouiding meaningful disposal income; and

IU.

it corrects he long standing erosion of tax free thresholds caused by inJlation since 2012, restoring faimess for tlrc lower segment of forrnal sector workers in line with Gouem-ment's objectiue of protecting low income ealTlers.

The Commlttee recommends that Clause 2O(a) stands part of the BllL

4.22.2 Withholding tax rates

Clause 20(b) of the Bill proposes to amend the Income Tax Act in Schedule 4 by inserting Section 2A in Part V, to provide that the withholdiug tax rate on the interest paid by a resident company in

It.

g

w

20

\

,{r"

-t)

respect of debentures to a non-resident person under section 82 (5) is 5%.

Clause 2O(c) of the Bill proposes to amend the Income Tax Act in Schedule 4 by inserting item 4 in Part X, to provide the withholding tax for section 130(3) as 6%o of the gross pa5rment.

Clause 20(d) of the Bill proposes to amend the Income Tax Act in Schedule 4 by substituting Part XI to provide withholding tax rate for winnings from betting or gaming as 15%.

Clause 2O(e) proposes to amend the Income Tax Act in Schedule 4 by substituting Part XIII to provide for the rate of withholding tax on pavrnent of commission paid by a telecommunications service provider for telecommunication retail services, mobile network services or provision of mobile money services at a rate of 10% of the gross amount of the pa5rment.

Clause 2O(f) provides for Part XVI which provides for withholding tax on pa5rment made to a public entertainer of 60/o of the gross pa5rment.

TLrc Committee obserued that;

i.
the clause prouides for uitltholding tax rates which haue been prouided Jor under the Bill; and

ii.
clause 20 (c) should be deleted because it is a consequential amendment follouing deletion of clause 3.

The Commlttee recommends that Clause 20 of the Blll be adopted u:th the proposed am.end.ments.

5.O CONCLUSTON

The Committee recommends that the Bill be passed subject to the proposed Y\-1r ,

21

l.-t

arnendments

\

$

pRoposrD AMENDMENTS ro rHE ircourp rAx (AMENDMENTI BrLL, 2026

CLAUSE 3. AMENDMENT OF SDCTION 20 OF PRINCIPAL ACT

Delete clause 3

Justification

(i) Implementation of the tax will cause considerable administrative challenges as the traceability of transactions involving non-business assets will be difficult;

(ii) Non-business assets are not used in trading or business and their disposal has no profit motive. Any gains from their disposal should therefore be exempt from tax;

(iii)Further still, non-business assets are usually disposed of for personal reasons for instance payment of medical bills and these therefore should not constitute tax base.

CLAUSE 4. AMENDMENT O.r SECTION 21 OF PRINCIPAL ACT

Clause 4 is amended in sub clause (a)(iii) by substituting for the word "five million United States Dollars", the words "one million five hundred thousand United States Dollars"

Justification

To reduce the threshold for a citizen from five million United States Dollars to one million five hundred thousand united States Dollars.

CLAUSE 8. AMENDMENT OF SEICTION 36 OF PRINCIPAL ACT

Delete clause 8.

Justiflcation

(i) The proposal contradicts the fundamental principal of taxing profits and not turn over;

(ii) The proposal will make companies that are already making losses to face further financial strain and may lead to closure of businesses.

OF

{"r

qu

22

Delete clause 13.

Justification

To delete the proposal to tax non-business assets.

CLAUSE 14. SUBSTITUTION OF SECTION 131 OF PRINCIPAL ACT

Clause 14 is amended-

(a) in sub clause (2) by deleting the words "on the game or bet."

(b) bV inserting a new sub clause as follows-

"This section does not apply to winnings arising by playing card games an roulette."

Justification

To disapply withholding tax from winnings arising by playing card games and roulette.

CLAUSE 16. INSERTION OF

1358 TO PRINCIPAL ACT

Clause 16 is amended by numbering the existing clause as (1) and inserting a new sub clause as follows-

"For the purposes of this section, "Public entertainer" means a person who performs in public or in front of a camera or microphone for entertainment, artistic, or similar pu{poses, including a person who performs in, participates in, or provides entertainment at any event or activity open to the public and includes stage, radio, television, and digital performers.

Justification

To provide for the definition of public entertainer

CLAUSE 17. AMENDMENT OF SECTION 139 OF PRINCIPAL ACT

C1ause 17 is amended in paragraph (a) by deleting the proposed paragraph (aa).

Justification

It is a consequential amendment following the deletion of the proposal to tax sal of a non-business asset

the income derived from the dispo

t"1

D 0(W

CLAUSE 18. INSERTION OF SECTION 15OA TO PRINCIPAL ACT

Delete clause 18.

Justiflcation

No proper studies were provided and the introduction of this provision is likely to enable tax planning and will thus erode the tax base.

CLAUSE 20. AMENDMRNT OF SCHEDULE 4 TO PRINCIPAL ACT

Clause 20 is amended by deleting paragraph (c)

Justification

It is a consequential amendment following the deletion of the proposal to include the income derived from non-business asset as property income.

M

0{tL

tu

Kt(

(

24

-'/

g

t
4l
Hon. WAMAKUYU
MUDIMI IGNATIUS
Elgon County
42
Hon. WANDA RICHARD
Bungokho Central
CounW
t
2

i, -,i-
:
PARTIAMENT OF UGANDA
MTNORTTY REPORT ON THE TNCOME TAX (AMENDMENT)
BIL[, 2026
APRII, 2026
Kh
(?

I.O INTRODUCTION

The lncome Tox (Amendment) Bill 2026 tobled in Porlioment on I't April, 2026 proposes new toxes ond tox exemptions.

Our disogreement is in the following oreos

l). Non-Complionce with the PFM Act,2015 regording Cost estimotes for the Bills

ii). There ls No Comprehensive Toxotion Policy in Ugondo.

iii). Bujogoli Hydro Power Project tox exemption

iv). Disposol of non-business Assets - clouses 3 & ,l3,

v). Chorging Mobile Money Commissions & telecom Commissions - clouse ,l5.

vi). Opposed to imposing o 0.5% tox on gross income tox on Componies thot corry forword ossessed losses ofter o period of seven consecutive yeors.

vii). Opposed to imposing 40%lox on P.A.Y.E on income of workers eorning more thon l0m.

l.Non-Complionce with the PFM Acl,20l5 regording Cosl eslimotes for the Bills.

Section 76 of the PFM Act, 2015 wos not odhered to, specificolly Section 76(2), which stotes thot the Certificote of finonciol implicotions issued under subsection (1) should outline the projections of revenue ond expenditure. The Ministry of Finonce, Plonning ond Economic Development foiled to furnish the committee with the expenses ond odvontoges ossocioted with the proposed bill, ond we find it difficult to overlook this violotion of the low.

2.0. THERE IS NO COMPREHENSIVE TAXATION POLICY IN UGANDA.

Rt.Hon. Speoker ond Members, Porlioment odopted on Moy 51h 2022 o motion by Buyombo MP Hon. Gyoviiro Ssemwongo demonding tobling of o comprehensive toxotion policy in Ugondo.

Sheemo MP who served of URA os commissioner domestic tox wos even more emphotic. We need to bose our tox decisions on o structured policy rother thon relying on od-hoc negotiotions, he odvised while deboting Gyoviiro's motion.

lnsteod of tobling the policy, Hon. Kosoijo hos returned with tox proposols bosed o

n no known policy.
The lock of policy leods to unfoir toxotion thot disproportionotely burden the impoverished citizenry.
r(

Rt.Hon. Speoker, in the obsence of such o Comprehensive Toxotion Policy to-dote, we orgue this Porlioment to reject these tox bills thot ore fromed to exploit innocent citizens by subjecting them to excessive toxotion.

3. Disposol of non-business Assets.

This low wonts to moke goins from the disposol of o non-business osset officiolly recognized os derived income ond o person purchosing such on osset be compelled to withhold tox.

Rt. Hon. Speoker, we object to Government introducing o copitol goins tax of 6% withholding tox on privole ossets like privole lond, reol eslote or shores nol tied to on oclive business, lo personol home ilems like neckloces, Television sels, beds or furniture in homes. This Bill once it becomes low will require the buyer to oct os o tox ogenl ond withhold 6% of the poyment to remit to URA.

Hon. Speoker, non-business ossels ore nol used lo generole income ond ore normolly disposed of for purely personol reosons like settling medicol bills, fees, ond os such should not conslilule o lox bose.

4. Chorging Mobile Money Commissions & lelecom Commissions.

We object to withdrowing tox on commissions poid for telecommunicotions retoil, mobile network, or mobile money services. Doing so will directly hit mobile money ogents ond oirtime vendors. The net toke-home profit for smoll-scole mobile money ogents will be offected. Consequently, the Mobile Money Agents will push the costs to consumers or close operotion of mobile money kiosks.

5. Reject lhe proposed exlension of Bujogoli Hydro Power Projecl- a (ob)

Bujogoli Tox exemption extension for 6 yeors to 301h June 2032 be rejected. The Bujogoli tox exemptions is o motter thot tests the integrity of this Porlioment. While poinfully giving o one-yeor extension this Finonciol Yeor, Porlioment unonimously re

solved thot government renegotiotes the power purchose ogreement with the Bujogoli owner. Porlioment olso ordered the Auditor Generol to oudit Buiogoli especiolly in relotion to recommendotions of on odhoc committee choired by Hon. Koteshumbo.

Ihe 2023 Auditor Generol's Report mentions loss of government revenue through exemptions like this one omounting to opproximotely Ugx. 1.417 trillion in tox woivers. The proposed extension of Bujogoli tox woiver is projected to result in odditionol revenue loss of Ugx. 690 bn for the next six yeors, considering thot Bujogoli will be forgiven UGX. I lSbn per yeor up to 2032

-.W

*

We therefore reject the proposol becouse the project hos benefited from repeoted extensions through the onnuol or short term omendments. We ogree with proposol to odopt o cleor tronsition strotegy to phose out the exemption, including renegotioting elements of the toriff structure where necessory, or replocing the tox holidoy with torgeted ond tronsporent subsidies thot support electricify offordobility without undermining revenue mobilizotion.

On hotels, government is proposing to omend section 2l o(iii) which exempts income tox on businesses to include hotels ond tourism focilities thot meet the set thresholds for foreigners ond citizens They ore setting o threshold of five million united stotes dollors for citizens who ore investing in hotel ond tourism focilities, we believe this threshold is very high ond will only coter for few rich who con offord this os not mony will quolify for or meet this requirement

Under omendmenl 4, section 2l of the principol oct, o(iii), this becomes o consequentiol omendment we mointoin $500,000 for Upcountry hotel investments, ond $ 1,500,000 for urbon settings.

6. Opposed to imposing o 0.5% lox on gross income tox on Componies lhol corry forword ossessed losses otler o period of seven conseculive yeors.

lmposing tox of 0.5% on the gross income implies thot componies with nil chorgeoble income will be poying tox. Which is ogoinst the known principle thot corporotion income tox (ClT) is chorged on chorgeoble income.

Hon. Speoker ond Members, it is very unreolistic to tox olreody struggling businesses moking losses. Government must oppreciote thot, despite such componies moking losses in the medium term, they do provide jobs, contribute revenue to URA through PAYE. lmposing this unpopulor tox will definitely offect investment.

Section B

of the Bill trying to omend section 34 of the principol oct be deleted.
Ugondo Airlines is loss moking Government entity moking losses since inception to dote. If you chorged it for its losses corried forword, it would never hove ony hopes of breoking even.
7. Opposed lo imposing 40% lox on PAYE on income of workers eorning more lhon l0m.

Currenl Monthly Chorgeoble income (UGX)	Tox	Proposed Monthly Chorgeoble income (UGX)	Proposed Tox rote
0-235,000	0%	0-335,000	NIL
235,000-33s,000	10%	33s,000-4r 0,000	NIL
335,000-4r0,000	20%	4r 0,000-485,000	25%

*S"
B

4r 0,000-r0M
30%
485,000- r0m
30%
Over l0 m
40%
Over l0m
40%
Propose Over 17.4M
40%
Hon. Speoker ond Members, the growth in consumer price index between July 2012 and Februory 2026 which is obout 7 4%, the equivolence of the tox-free of Ugx. 235,000 threshold odjusted for inflotion would be Ugx. 408,384 while thot of UGx. l0 m would be Ugx. 17 .4 M.
Hon. Speoker ond Members, to orrive of 74% cumulotive growth rote is by compounding the onnuol inflote rotes over the specified period 20l2to 2026. The overoge Annuol lnflotion between 2012 ond 2016 is between 37" and 6%. By compounding effect, if you ossume on overoge onnuol inflotion rote of opproximotely 4.1% over the ,l3.6 yeors between Jvly 2012 ond Februory 2026, the cumulotive increose in price levels reoches opproximolely 74%
Hon. Speoker, it is importont to odjust tox brockets for inflotion on onnuol bosis bosed on the Consumer Price lndex published by Ugondo Bureou of Stotistics of the end of eoch yeor.
We reiecl 40% on income over l0m to 407" on income over Ugx. 17.4M per monlh.
Clouse l3 proposing lo omend section 130 of lhe principol oct be deleled, becouse il is q consequentio! omendmenl.
Clouse l8 thot is inserling in seclion l50A be deleted or pul o lhreshold of Ugx. 120m.
8. Amendmenl of seclion 82 of lhe principol Act.
Rt.Hon. Speoker, the lncome Tox (Amendment) Bil 2026 proposes to omend Section B2(5) of Ugondo's principol lncome Tox Act. lt would require o resident compony poying interest on debentures to withhold tox on the gross omount of interest of the rote specified in Port V of Schedule 4, only if the following three conditions ore oll met:
(o) The debentures were issued by the compony outside Ugondo to roise o loon outside Ugondo;
(b) The debentures were widely issued for roising funds for use in t

he compony's
business in Ugondo, or the interest is poid to o bonk or public finonciol institution;
ond
(c) The interest is poid outside Ugondo
{b

In simple terms, the omendment seeks to impose Ugondon withholding tox on interest poyments mode by Ugondon resident componies on foreign-issued debentures/loons thot ore ultimotely used for business octivities in Ugondo (or poid to bonks/finonciol institutions), even when the funds ore roised ond interest is poid obrood.

We Reject the Proposo! due to lts Likely lmpocl on Borrowing in Ugondo.

This omendment should be rejected outright. lt represents o hormful exponsion of Ugondo's tox jurisdiction over cross-border finonciol tronsoctions ond will hove severol negotive consequences for the economy:

l. lncreosed Cost of Borrowing: By imposing withholding tox on gross interesl (without ollowing deductions for expenses), the effective cost of foreign debt finoncing rises significontly. Foreign lenders/investors will demond higher interest rotes to compensote for the tox, or they will simply ovoid Ugondon borrowers oltogether. This directly roises the cost of copitol for Ugondon componies.

2. Deterrence of Foreign Copitol lnflows: Ugondo olreody foces chollenges ottrocting sufficient long-term debt ond equity copitol. Extending withholding tox to debentures issued ond poid outside Ugondo sends o strong signol thot Ugondo is becoming more oggressive in toxing offshore orrongemenls. This will discouroge internotionol bond issuonces, syndicoted loons, ond other foreign finoncing mechonisms thot componies use to fund domestic projects (infrostructure, monufocturing, ogriculture, etc.).

3. Violotion of lnternotionol Tox Norms ond Double Toxotion Risks: Mony double tox treoties (DTTs) ond stondord internotionol proctices limit source-country toxotion on interest to coses where the poyer is resident ond the debt is effectively connected to the source country in cleorer woys. This p

roposol risks creoting
overlopping tox cloims (Ugondo + the foreign jurisdiction), leoding to double toxotion, costly disputes, ond reduced ottroctiveness under existing treoties.
4. Domoge to Business Competitiveness: Componies seeking to expond or modernize operotions in Ugondo will find it horder ond more expensive to occess globol copitol morkets. Locol bonks olone connot meet the scole of finoncing needs in o growing economy. This omendment would porticulorly hurt lorge-scole projects in energy, tronsport, ogro-processing, ond other key sectors.
5. Brooder Economic lmpoct: Reduced occess to offordoble foreign borrowing will slow investment, job creotion, ond economic orowth. lt moy olso encouroge
-.(

componies to shift finoncing structures or relocote octivities to more tox-friendly jurisdictions in the region (e.9., Kenyo, Rwondo, or further ofield).
Recommendotion: The omendment should be deleted from Bill No. 5. Ugondo needs policies thot focilitote rother thon obstruct the inflow of foreign copitol. Mointoining o competitive ond predictoble tox regime for cross-border debt is essentiol for sustoinoble economic development. Broodening the tox bose in this monner of the expense of investment ond growth is counterproductive.
If this provision is enocted, it risks doing more horm to Ugondo's borrowing environment ond overoll investment climote thon ony morginol revenue it might generote.
lsubmit.
Members of the Commitlee on Finonce, Plonning ond Economic Developmenl
Dissenling from the views of the Mojority.
SN
MEMBER
S!GNATURE
')
N ^Eu v--etd-* \++--d I f-ft !l,rg,o,) r) G-'
G
S*ntL^tx4 'frwlpwj- l1
_t
5
z
,0 *,.,.)o NJ"r^ ^k r^u-o
AA"ku l*^^ ffnn,,n
0
1ft55;
/,"
\iv\
$\.x.,
J
fi?,k
?
,
tL/y